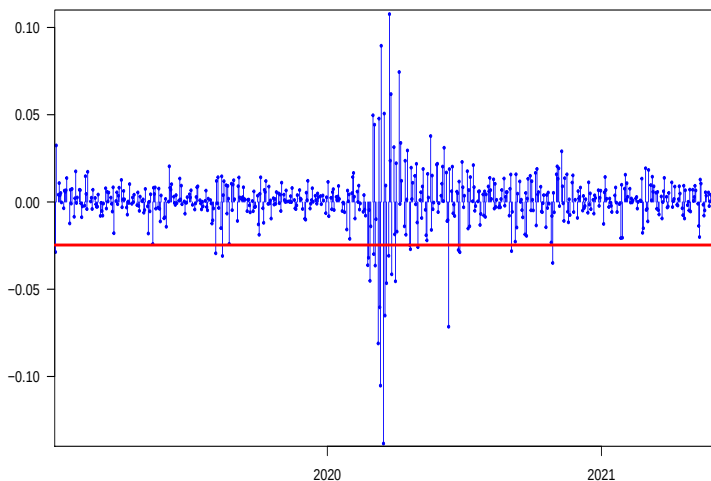


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Notes on Financial Risk and Analytics

With  and Python



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<https://personal.ntu.edu.sg/nprivault/index.html>

Preface

Risk measurement and the modeling of extreme events are present in many aspects of our daily lives, although their significance is often underestimated. The types of risks to which we are typically exposed can be roughly classified into: market risk, liquidity risk, credit risk, counterparty risk, model risk, and estimation risk. Climate risk and green investment analytics have also become important areas of interest.

This book introduces mathematical tools for financial risk modeling and related analytics with  and Python. Topics include stochastic modeling using random processes with jumps and time series, Value at Risk and Expected Shortfall, and structures of random dependence for multivariate modelling, all of which are relevant to risk analytics and financial risk management.

Prerequisites and audience

This book is largely self-contained but assumes a basic knowledge of undergraduate probability and statistics, including concepts such as random variables and probability distributions. Complements are provided where necessary - for example, on correlation and dependence, or cumulative distribution functions and their generalized inverses.

As such, the book is suitable for advanced undergraduate or beginning graduate students interested in the mathematical foundations of risk management. It can be used for modules such as *Foundations of Risk Analytics*, *Statistical Learning for Risk Modeling*, *Mathematical Tools for Risk Management*, *Actuarial and Insurance Statistics*, *Credit Risk*, *Quantitative Methods for Risk Analysis*, *Risk Management and Derivatives*, *Financial Mathematics*, and *Computational Finance*, in BSc and MSc programs in risk analytics, financial mathematics, actuarial science, and data analytics.

The book can also serve as a resource for multiple modules within programs in finance and economics, business, mathematics and statistics, and as preparation for more advanced courses. In comparison with related references, it also focuses on proof derivations, especially in Part II on risk measures. Other relevant references include [Gourieroux and Jasiak \(2010\)](#) for a

time-series-based framework, [Bluhm et al. \(2024\)](#) for credit risk and correlated default, [McNeil et al. \(2015\)](#), [Baesens et al. \(2016\)](#) and [Pfaff \(2016\)](#) for hands-on analytics, and [Chen et al. \(2024\)](#) which also covers machine learning tools.

Exercises

This text includes 83 practice exercises of varying difficulty levels, covering both computational and applied aspects. Complete and detailed solutions to the exercises are provided in the accompanying solutions manual. Clicking on an exercise number inside the solution section will take the reader to the corresponding problem inside the main text. Conversely, clicking on the problem number sends the reader to the associated solution; however, this feature should not be misused.

Computer codes

The document contains 120 Python compact code blocks also available as notebooks at

https://github.com/nprivaul/Python_Notebooks/

and 121  scripts and instructions of minimal length, also available as notebooks at

https://github.com/nprivaul/R_Notebooks/

which are designed to be run locally and in sequence within each chapter.

Organization

The book is organized into three parts. Part [I](#) provides the foundations of random processes, the stochastic modeling of market returns, and their correlation and dependence properties. Part [II](#) focuses on classical risk measures, while Part [III](#) presents more advanced concepts in credit risk.

The diagram below illustrates the dependencies among the different chapters of the book.

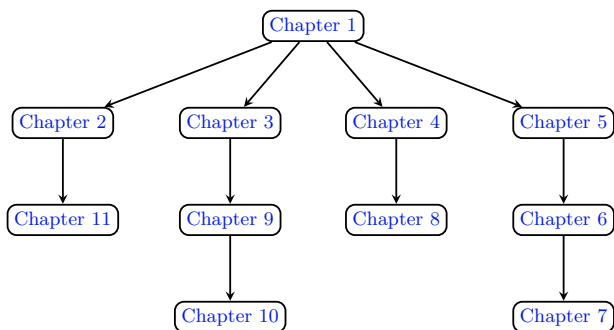


Fig. 1: Plan of the book.

Part I: Stochastic Modeling: Part I introduces tools for stochastic modeling with applications in option pricing, portfolio allocation, and insurance. Chapter 1 begins with random walks and geometric Brownian motion for financial modeling, and also covers more advanced tools such as Gram–Charlier expansions for modeling market returns. Chapter 2 presents discrete- and continuous-time modeling of time-dependent events using time series. Chapter 3 focuses on jump processes and risk distributions, such as compound Poisson distributions, with applications to insurance risk. This is also relevant to liability, catastrophe and operational risks such as business or event risk. Correlation and dependence are addressed in Chapter 4 using copulas.

Part II: Risk Measures: Part II focuses on risk measures relevant to financial, investment, market and non-catastrophe risks, beginning with the superhedging risk measure in Chapter 5. Chapters 6 and 7 provide a detailed treatment of Value at Risk, Tail Value at Risk, and Expected Shortfall, including a proof that Expected Shortfall and Tail Value at Risk are coherent risk measures.

Part III: Credit Risk: Part III presents structural and reduced-form approaches to credit risk and valuation in Chapters 8 and 9. Credit default is analyzed through defaultable bonds, Credit Default Swaps (CDS), and collateralized debt obligations (CDOs) in Chapter 10 on credit derivatives. Chapter 11 is devoted to credit scoring, covering the main theoretical tools used by credit rating practitioners, such as discriminant analysis and logistic regression.

The material in this book has been used for teaching in the Masters of Science programs in Financial Engineering (MFE), Analytics (MSA), and Business Analytics (MSBA) at the Nanyang Technological University, and

for a course at the Nanjing University of Science and Technology at the invitation of Prof Wang Liang. The pdf file contains external links and 170 figures, including 11 animated figures and an embedded video in Figure 1.9, which may require using Acrobat Reader for viewing on the complete pdf file.

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Contents

Part I Stochastic Modeling

1	Modeling Market Returns	3
1.1	Random Walks	3
1.2	Market Returns	10
1.3	Geometric Brownian Motion	13
1.4	Distribution of Market Returns	21
1.5	Gram–Charlier Expansions	30
	Exercises	35
2	Time Series	39
2.1	Autoregressive Moving Average	39
2.2	Autoregressive Heteroskedasticity	49
2.3	Time Series Stationarity	53
2.4	Fitting Time Series to Financial Data	63
2.5	Application: Pair Trading	69
	Exercises	79
3	Processes with Jumps	83
3.1	The Poisson Process	83
3.2	Compound Poisson Process	93
3.3	Claim and Reserve Processes	99
3.4	Ruin Probabilities	101
	Exercises	109
4	Correlation and Dependence	111
4.1	Joint Bernoulli Distribution	111
4.2	Joint Gaussian Distribution	112
4.3	Copulas and Dependence Structures	114

4.4 Examples of Copulas	119
Exercises	127

Part II Risk Measures

5 Superhedging Risk Measure	133
5.1 Historical Sketch	133
5.2 Financial Derivatives	134
5.3 One-Step Model	141
5.4 Black-Scholes Analysis	147
Exercises	154
6 Value at Risk	165
6.1 Risk Measures	165
6.2 Quantile Risk Measures	171
6.3 Value at Risk (VaR)	180
6.4 Numerical Estimates	187
Exercises	190
7 Expected Shortfall	193
7.1 Tail Value at Risk (TVaR)	193
7.2 Conditional Tail Expectation (CTE)	195
7.3 Expected Shortfall (ES)	200
7.4 Numerical Estimates	206
Exercises	211

Part III Credit Risk

8 Structural Approach	221
8.1 Merton Model	221
8.2 Default Bonds	225
8.3 Black-Cox Model	227
8.4 Correlated Default Times	231
Exercises	237
9 Reduced-Form Approach	239
9.1 Survival Probabilities	239
9.2 Stochastic Default	242
9.3 Defaultable Bonds	245
Exercises	249

10 Credit Derivatives	253
10.1 Credit Default Swaps (CDS)	253
10.2 Collateralized Debt Obligations (CDO)	258
10.3 Credit Valuation Adjustment (CVA)	265
Exercises	269
11 Credit Scoring	273
11.1 Discriminant Analysis	273
11.2 Decision Rule	277
11.3 Logistic Regression	281
11.4 ROC Curve	290
Exercises	295
Part IV Appendix	
Background on Probability Theory	301
A.1 Probability Sample Space and Events	301
A.2 Probability Measures	305
A.3 Conditional Probabilities and Independence	307
A.4 Random Variables	309
A.5 Probability Distributions	311
A.6 Expectation of Random Variables	319
A.7 Conditional Expectation	332
Exercises	338
Some Useful Identities	341
Exercise Solutions	345
Chapter 1	345
Chapter 2	354
Chapter 3	362
Chapter 4	365
Chapter 5	375
Chapter 6	385
Chapter 7	391
Chapter 8	401
Chapter 9	405
Chapter 10	409
Chapter 11	414
Background on Probability Theory	419
Index	425
Author index	431

References	433
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List of Figures

1	Plan of the book	vii
1.1	Sample path of the random walk $(S_n)_{n \geq 0}$	4
1.2	Graph of $120 = \binom{10}{7}$ paths*	5
1.3	Two sample paths of one-dimensional Brownian motion	6
1.4	Discrete time scale	6
1.5	Brownian motion as a random walk*	7
1.6	Statistics of one-dimensional Brownian paths <i>vs.</i> Gaussian distribution	8
1.7	Sample paths of a one-dimensional Brownian motion	10
1.8	Returns <i>vs.</i> cumulative returns	11
1.9	“As if a whole new world was laid out before me.”*	13
1.10	Geometric Brownian motion path*	16
1.11	Twenty sample paths of geometric Brownian motion	17
1.12	Graph of the Gaussian Cumulative Distribution Function (CDF)	18
1.13	Statistics of geometric Brownian paths <i>vs.</i> lognormal distribution	19
1.14	HSBC Market price	22
1.15	Simulated geometric Brownian motion	22
1.16	Statistics of S&P 500 yearly return graphs from 1950 to 2022	24
1.17	Market returns <i>vs.</i> normalized Gaussian returns	25
1.18	Empirical <i>vs.</i> Gaussian CDF	25
1.19	Quantile-Quantile plot	26
1.20	Empirical density <i>vs.</i> normalized Gaussian density	27
1.21	Empirical density <i>vs.</i> normalized lognormal density	28
1.22	Empirical density <i>vs.</i> power tail density	29
1.23	Edgeworth expansions	35
1.24	Sample path of a geometric Brownian motion	35
2.1	MA(2) Samples	42
2.2	AR(2) Samples	45

2.3	ARMA(2, 2) Samples	46
2.4	ARIMA(1, 2, 3) Samples	49
2.5	ARCH(2) Samples	51
2.6	GARCH(2, 1) Samples	53
2.7	Autocovariances of AR(2) Samples	55
2.8	Complex unit circle	58
2.9	Nonstationarity of an AR(2) time series with $\alpha_1 = 1$ and $\alpha_2 = -1$	59
2.10	Hypothesis testing	60
2.11	Stock returns	63
2.12	Calibrated ARIMA(0, 0, 3) samples vs. market returns	65
2.13	Calibrated ARIMA(2, 0, 2) samples vs. market returns	66
2.14	Calibrated GARCH samples vs. market returns	67
2.15	Cumulative stock returns	68
2.16	Calibrated ARIMA(2, 1, 2) samples vs. market prices*	69
2.17	MSFT vs. AAPL graphs	70
2.18	Comparison graph before linear regression	71
2.19	Comparison graph after linear regression	72
2.20	Spread graph	73
2.21	Pair trading signals	74
2.22	Illustration of the self-financing condition	76
2.23	Pair trading performance	78
2.24	Pair trading performance	79
2.25	Autocorrelation graph	79
3.1	Sample path of a counting process $(N_t)_{t \in \mathbb{R}_+}$	84
3.2	Sample path of the Poisson process $(N_t)_{t \in \mathbb{R}_+}$	87
3.3	Sample path of the Poisson process $(N_t)_{t \in \mathbb{R}_+}$	91
3.4	Sample path of the compensated Poisson process $(N_t - \lambda t)_{t \in \mathbb{R}_+}$	92
3.5	Probability density function	93
3.6	Sample path of a compound Poisson process $(Y_t)_{t \in \mathbb{R}_+}$	94
3.7	Sample path of a compensated compound Poisson process	99
3.8	Sample path (without ruin) of a reserve process $(R_x(t))_{t \in \mathbb{R}_+}$	100
3.9	Sample path (with ruin) of a reserve process $(R_x(t))_{t \in \mathbb{R}_+}$	101
3.10	Sample paths of reserve process*	106
4.1	Joint Gaussian probability density	113
4.2	Copula graphs	115
4.3	Gaussian copula graphs	120
4.4	Different Gaussian copula density graphs	121
4.5	Different Gaussian copula density graphs	121
4.6	Samples with uniform marginals and given copulas	123
4.7	Samples with Gaussian marginals and given copulas	124
4.8	Joint densities with Gaussian marginals and given copulas	125

4.9	Joint density contour plots with Gaussian marginals and given copulas .	126
4.10	Samples with exponential marginals and given copulas	127
4.11	Truncated two-dimensional Gaussian density	129
5.1	Comparison of Brent <i>vs.</i> Keppel price graphs	134
5.2	Hang Seng index	135
5.3	Two put option scenarios	135
5.4	Payoff function of a put option	136
5.5	Two call option scenarios	137
5.6	Payoff function of a call option	137
5.7	Brent and WTI price graphs	139
5.8	Price map of a four-way collar option	140
5.9	Payoff function of a four-way call collar option	140
5.10	Four-way call collar payoff as a combination of call and put options* . .	141
5.11	Option payoff and underlying asset	142
5.12	Implied probabilities	146
5.13	One hundred sample price paths used for the Monte Carlo method . . .	147
5.14	Graph of the Gaussian Cumulative Distribution Function (CDF)	149
5.15	Black–Scholes call option price map*	150
5.16	Time-dependent solution of the Black–Scholes PDE (call option)* . . .	150
5.17	Delta of a European call option	151
5.18	Black–Scholes put price function*	152
5.19	Time-dependent solution of the Black–Scholes PDE (put option)* . . .	152
5.20	Delta of a European put option	154
5.21	Market model	155
5.22	Market model	156
5.23	Market model	156
5.24	Graphs of call/put payoff functions.	159
5.25	Transition probabilities in the recovery theorem	164
6.1	Estimating liabilities by a conditional mean	168
6.2	Cumulative distribution function with discontinuities	171
6.3	Cumulative distribution functions	172
6.4	Exponential CDF and its inverse	174
6.5	Poisson CDF and its generalized inverse	174
6.6	Example of quantiles given as percentiles	176
6.7	Gaussian quantile $q_Z^p = 1.644854$ at $p = 0.95$	176
6.8	Exponential quantile $q_X^p = 2.995732$ at $p = 0.95$	177
6.9	Cumulative distribution function	178
6.10	Empirical cumulative distribution functions	179
6.11	Continuous CDF and symmetric VaR	183
6.12	Discontinuous CDF and nonsymmetric VaR	183
6.13	Cumulative distribution function	185

6.14	Cumulative distribution function	185
6.15	Market returns <i>vs.</i> Value at Risk	189
6.16	Cumulative distribution function	190
6.17	Graphs of data samples, histogram, and empirical CDF	192
7.1	Two distributions having the same Value at Risk $V_X^{95\%} = 2.145$	194
7.2	Value at Risk and Conditional Tail Expectation	198
7.3	Value at Risk and Expected Shortfall	209
7.4	Value at Risk <i>vs.</i> Expected Shortfall	209
7.5	Historical <i>vs.</i> Gaussian estimates of Value at Risk	210
7.6	Historical <i>vs.</i> Gaussian estimates of Expected Shortfall	211
7.7	Exponential CDF and PDF	212
7.8	Data set and cumulative distribution function	213
7.9	Data set and cumulative distribution function	213
7.10	Cumulative distribution function	214
7.11	Cumulative distribution function	215
7.12	Logistic CDF and PDF	216
8.1	Graph of $x \mapsto \Phi(\Phi^{-1}(x) + (\mu - r)\sqrt{T - t}/\sigma)$	225
10.1	CDS price evolution	256
10.2	A representation of CDO tranches	259
10.3	A Titanic-style representation of cumulative tranche losses	260
10.4	Function $f_t(x) = \min((x - N\alpha_{t-1})^+, Np_t)$	262
10.5	Internal Ratings-Based (IRB) formula	265
10.6	Cashflow data	269
10.7	Discount factors data	270
10.8	CDS Market data	271
11.1	Data set	274
11.2	Probability default curve $z \mapsto \mathbb{P}(B \mid X = z)$	276
11.3	Probability acceptance curve $z \mapsto \mathbb{P}(G \mid X = z)$	277
11.4	Animated graph of optimal decision rule*	280
11.5	Logistic CDF	282
11.6	GLM regression	284
11.7	GLM regression	285
11.8	Logistic regression output on 5 criteria	286
11.9	Logistic regression output on 61 criteria	288
11.10	ROC curve	290
11.11	Gaussian ROC curves	292
11.12	ROC curves based on 5 criteria and 61 criteria	294
A.1	Probability density function	312
A.2	Exponential CDF and PDF	314

A.3	Probability computed as a volume integral	315
A.4	Conditional expectation as a projection	334
S.1	Sample paths of geometric Brownian motion	348
S.2	CPPI value and allocation	351
S.3	Phone screenshots	352
S.4	Exponential copula function $u, v \mapsto C(u, v)$	368
S.5	Density of $X + Y$	371
S.6	Survival copula graph	374
S.7	Survival copula density graph	374
S.8	Range forward contract payoff*	379
S.9	Pareto cumulative and probability density functions	387
S.10	Cumulative distribution function	387
S.11	Value at Risk and Expected Shortfall for small data	396
S.12	Cumulative distribution function	396
S.13	Cumulative distribution function	397
S.14	Cumulative distribution function	397
S.15	Failure rate estimation.	411
S.16	Exponential ROC curves	417
S.17	Uniform ROC curves	418

* Animated figures (work in Acrobat Reader).

List of Tables

1.1	Itô multiplication table	14
5.1	Call and put options on the Hang Seng Index (HSI).	160
7.1	Summary of Risk Measures	211
9.1	Sample mortality table	240
9.2	Cumulative historic default rates	249
10.1	Spread market data	271
S.1	Fixed deposit returns	352
S.2	CRR pricing tree	380
S.3	CRR pricing and hedging tree	381
S.4	CDS Market data	411
S.5	Spread and survival probabilities	413